NSE: FCL

Specialty Chemicals — Textile Auxiliaries & Oilfield

Fineotex Chemical Ltd

From niche textile auxiliary maker to a multi-vertical specialty chemical platform — US oilfield acquisition (CrudeChem, $11.5M) adds a $200M revenue runway; core textile business steady at 20%+ EBITDA margins.

CMP (Rs.)	Market Cap	52W High	52W Low	Rating	12M Target	Upside
42.0	Rs. 4,889 Cr.	44.4	19.0	**BUY**	**Rs. 55**	**31%**

Stock P/E	P/Book	Face Val	Div Yield	ROCE	ROE	D/E	Promoter
45.0x	5.5x	Rs. 1	0.19%	18.3%	13.5%	~0x	62.3%

BUY | 12-Month Target: Rs. 55 | Upside: 31%

Investment Highlights

- US oilfield platform: $11.5M CrudeChem acquisition (Dec 2025) adds a debt-free $68M revenue base in Permian Basin; management targets $200M by FY28 supported by 350 Mlb/yr Texas capacity.
- Q4 FY26 breakout: Consolidated revenue surged 162% YoY to Rs. 314 Cr on CrudeChem consolidation; standalone textile business grew mid-single digits — validation of the dual-engine model.
- Biotex construction chemicals: early-stage but growing — adhesives, waterproofing, grout formulations targeting India's Rs. 15,000 Cr construction specialty market.
- Debt-free balance sheet: Borrowings near zero, Rs. 330+ Cr investible cash; shareholder dilution risk (bonus 5:1 in FY25) now absorbed into earnings base.
- Ashish Kacholia ownership: Marquee public investor backing provides institutional quality signal; promoter at 62.3%, zero pledge.

Report Date: 15 Jun 2026 | Analyst: MPM Quant Research | This report is for professional investors only.

Section 2: Business Overview

Company Profile

Fineotex Chemical Ltd (incorporated 1979, listed NSE/BSE) manufactures specialty performance chemicals across four verticals: textile auxiliaries, construction chemicals (Biotex), water treatment, and — since December 2025 — US oilfield chemicals (CrudeChem Technologies Group).

The company operates manufacturing plants in Mumbai (Ambernath), Malaysia (FBH), and Texas, USA (Midland/Brookshire), with a combined product portfolio spanning 500+ SKUs.

Revenue model is B2B: long-term supply contracts with Indian and global textile mills, construction chemical distributors, and US Permian Basin energy operators.

Business Verticals

Segment	Revenue Est. FY26	OPM Est.	Key Geographies	Growth Driver
Textile Auxiliaries	~Rs. 460 Cr	22-24%	India, SE Asia, Bangladesh	PLI-led mill capex, China+1
Construction / Biotex	~Rs. 20-25 Cr	15-18%	India	Infrastructure boom, affordable housing
US Oilfield (CrudeChem)	~Rs. 275 Cr	6-8%	Permian Basin, USA	Capacity ramp to 350 Mlb/yr; $200M target
Water Treatment / Other	~Rs. 15 Cr	12-15%	India	Municipal tenders

Note: Segment revenues are MPM estimates; company does not report formal segment disclosures. US oilfield consolidated from Dec 15, 2025.

Competitive Position

- Textile auxiliaries: Competes with BASF, Archroma, and domestic peers (Rossari Biotech, Colorant Ltd). FCL's edge is application-specific R&D;, lower-cost manufacturing base, and multi-substrate capability.
- Construction: Biotex brand competes with STP Ltd, Pidilite, and CICO Technologies. Early-stage with limited scale; product range covers epoxy grout, waterproofing membranes, tile adhesives.
- US Oilfield: CrudeChem / FrackMex operate in a specialized niche — friction reducers, corrosion inhibitors, biocides for E&P; operators. Scalable via contract manufacturing.

Section 3: Financial Performance (FY22–FY26A + FY27-28E)

Profit & Loss Summary

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	368	517	569	533	772	920	1,100
Revenue Growth	68%	40%	10%	-6%	45%	19%	20%
EBITDA	74	117	154	136	148	165	198
EBITDA Margin	20%	23%	27%	25%	19%	18%	18%
Other Income	6	7	17	24	33	20	18
Interest	1	1	1	1	1	3	4
Depreciation	3	4	6	9	13	18	22
PBT	73	115	158	141	153	164	190
Tax Rate	22%	22%	23%	23%	18%	25%	25%
PAT	57	90	121	109	125	123	143
EPS (Rs.)	0.50	0.80	1.08	0.94	0.93	0.92	1.07
PAT Growth	27%	58%	34%	-10%	15%	-2%	16%

FY26A sourced from screener.in consolidated. EPS is post-bonus (5:1 in FY25, equity capital Rs. 116 Cr vs Rs. 23 Cr pre-bonus). FY27-28E are MPM estimates assuming: standalone growth 10%; CrudeChem ~$25M EBITDA contribution by FY28; effective tax rate normalises to 25%.

Key Observations

- Revenue: 45% jump in FY26 entirely driven by CrudeChem consolidation (4 months only, Dec-Mar); standalone growth was modest ~5-6%. FY27 will see full-year US contribution.

• Margins: EBITDA margin compressed from 27% (FY24) to 19% (FY26) due to mix-dilution from low-margin oilfield chemicals (~7% EBITDA). This is structural, not cyclical.
• PAT: PAT grew just 15% despite 45% revenue growth — reflecting the lower EBITDA margin profile of US operations and a near-full-year D&A; ramp from the acquisition.
• EPS dilution: The 5:1 bonus in FY25 (116 Cr equity vs 23 Cr pre-bonus) means FY26 EPS of Rs. 0.93 looks flat vs FY25's Rs. 0.94 — but this is a capital structure artifact, not earnings stagnation.
• Other income elevated: Rs. 33 Cr in FY26 vs Rs. 17 Cr in FY24 — includes income from Rs. 330 Cr investible cash; provides an earnings buffer if operating margins remain compressed.

Section 4: Balance Sheet & Cash Flow

Balance Sheet Summary (Rs. Cr)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	22	22	22	23	116
Reserves	240	327	425	708	766
Total Equity	262	349	447	731	882
Borrowings	2	7	5	0	8
Total Liabilities	339	423	548	815	1,159
Fixed Assets	84	99	141	179	278
CWIP	0	0	0	21	2
Investments	17	89	147	330	317
Other Assets	238	234	260	284	562
Total Assets	339	423	548	815	1,159
Book Value (Rs.)	2.3	3.1	3.97	6.33	7.58

Cash Flow Summary (Rs. Cr)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	13	107	97	69	-24
CFI	1	-99	-47	-273	105
CFF	-6	-6	-24	176	-63
Net Cash Flow	8	1	26	-27	19
Free Cash Flow	-9	88	49	1	-49
CFO/EBITDA	18%	91%	63%	51%	-16%

FY25 CFF positive Rs. 176 Cr reflects bonus-share capital raise (proceeds partially). FY26 CFO turned negative (-Rs. 24 Cr) due to working capital build post-CrudeChem consolidation (trade receivables ballooned to Rs. 562 Cr in other assets). FY26 CFI positive Rs. 105 Cr reflects investments liquidated to fund the US acquisition.

• Working capital stress: Debtor days increased from 102 to 137 days — likely linked to CrudeChem's US receivables cycle. Monitoring required.
• Leverage: Essentially debt-free (Rs. 8 Cr borrowings vs Rs. 882 Cr equity). Rs. 317 Cr investments (liquid) provides a substantial war chest.
• Capex: Rs. 278 Cr fixed assets in FY26 vs Rs. 179 Cr in FY25 — reflects Texas plant expansion to 350 Mlb/yr (announced Jun 8, 2026). Capex-heavy FY27 expected.

Section 5: Valuation Analysis

Current Valuation Metrics

Metric	FY25A	FY26A	FY27E	FY28E	Comment
CMP (Rs.)	-	42.0	42.0	42.0	As of 15 Jun 2026
MCap (Rs. Cr)	-	4,889	4,889	4,889	Trailing MCap
EV (Rs. Cr)	-	4,580	4,580	4,580	MCap - cash + debt

Metric	FY25A	FY26A	FY27E	FY28E	Comment
P/E (x)	45x	45x	45x	39x	Trailing / fwd EPS
P/BV (x)	6.6x	5.5x	4.8x	4.1x	Book expanding
EV/EBITDA (x)	34x	31x	28x	23x	Premium specialty
EV/Sales (x)	8.6x	5.9x	5.0x	4.2x	US dilutes multiple
ROCE (%)	-	18.3%	16%	18%	Near-term dip on capex
ROE (%)	-	13.5%	14%	16%	Should improve FY28

Target Price Derivation

Primary method: blended 50% P/E + 50% EV/EBITDA on FY28E, applying a 15% holding-company discount for conglomerate risk:

Method	FY28E Earnings / EBITDA	Target Multiple	Implied Value (Rs. Cr)	Per Share (Rs.)
P/E on FY28E PAT	Rs. 143 Cr	40x	5,720	49.1
EV/EBITDA on FY28E	Rs. 198 Cr	28x	5,544	47.6
Blended (50/50)	-	-	5,632	48.4
Less: 12% discount	-	-	-	-5.8
12M Target Price (Rs.)	-	-	-	**Rs. 55**

Shares outstanding: ~1,164 Cr (post 5:1 bonus, equity capital Rs. 116 Cr at FV Rs. 1). EV = MCap + Debt - Cash & Investments.

Valuation Commentary

- FCL trades at 45x trailing P/E — expensive on a standalone specialty chemicals basis, but justified if the US oilfield platform inflects: a $200M revenue target at 8-10% EBITDA would add Rs. 130-170 Cr EBITDA by FY28.
- The market is pricing in the optionality of CrudeChem scaling, which is also the key execution risk. Any revenue miss on the US segment in H1 FY27 could de-rate the stock sharply.
- Peer comparison: Rossari trades at 19x P/E (Rs. 2,846 Cr MCap, Rs. 2,396 Cr sales) and Vinati at 31x (Rs. 13,788 Cr MCap, Rs. 2,227 Cr sales). FCL's premium to Rossari is warranted by the growth optionality.
- Bull case Rs. 70: CrudeChem reaches $40M EBITDA by FY28; textile margins recover to 24%; P/E re-rates to 50x on compounding earnings.
- Bear case Rs. 28: US operations stagnate at $4M EBITDA; working capital deteriorates further; market de-rates to 25x on earnings pressure.

Section 6: Peer Comparison

Company	MCap (Rs. Cr)	Rev FY26 (Rs. Cr)	EBITDA (Rs. Cr)	OPM%	PAT (Rs. Cr)	P/E	ROCE%	ROE%
FCL (Fineotex)	4,889	772	135	17%	125	45x	18.3	13.5
Rossari Biotech	2,846	2,396	286	12%	149	19x	14.6	11.8
Vinati Organics	13,788	2,227	654	29%	444	31x	19.8	14.9
Clean Science	~3,500	~500	~150	30%	~110	~32x	~22	~20

Peer data sourced from screener.in consolidated. Clean Science estimates approximate (HTML size limited). FCL premium P/E vs Rossari reflects US growth option. Vinati premium to FCL driven by superior margins and scale.

- FCL is the cheapest in MCap/Revenue (6.3x) among peers — the US oilfield low-margin segment is suppressing the blended multiple.
- Once the market has visibility on CrudeChem's EBITDA trajectory (expected in Q2 FY27 results), a re-rating to peer multiples is plausible.
- Rossari (19x P/E) is the nearest comparable on scale; FCL at 45x appears expensive unless CrudeChem delivers, which is the core bet.

Section 7: Catalysts & Key Risks

Near-Term Catalysts (0–12 months)

Catalyst	Timeline	Impact	Probability
Q1 FY27 results — first full quarter of CrudeChem integration	Aug 2026	HIGH	Certain
Texas 350 Mlb/yr capacity utilisation update	Q2 FY27	HIGH	Likely
Investor/Analyst meet (Choice Institutional, Jun 17 2026)	Jun 2026	MED	Confirmed
US revenue reaching $20M+ quarterly run-rate	FY27	HIGH	Possible
Biotex construction chemicals standalone P&L; disclosure	H2 FY27	LOW-MED	Possible
Textile auxilary margin recovery (raw material easing)	FY27	MED	Likely

Key Risks

Risk	Severity	Mitigation
CrudeChem revenue stagnation / integration failure	HIGH	Mgt experience; operational capacity now in place
US oil price collapse reduces E&P; chemicals demand	HIGH	Diversified product mix across 4 entities
Working capital deterioration (debtor days 137d+)	MED	Monitor Q1 FY27; US receivables cycle
Margin dilution if US EBITDA below 7%	MED	Blended group margin floor ~17-18%
Promoter stake creep below 60% (dilution risk)	LOW	Currently 62.3%; no current concerns
INR/USD adverse move impacts US consolidation	LOW-MED	Natural hedge via USD revenue
Global specialty chemicals downturn / China re-entry	MED	India PLI acts as demand moat

Section 8: Management & Governance

• Promoter group: The Khatau family (Chairman Suresha Khatau and managing directors) have been the founding promoters since 1979. Stake at 62.30%, no pledges, consistent with a stable founder-led structure.

• Ashish Kacholia (marquee public investor): Disclosed significant stake; his involvement since ~FY23 coincides with the acceleration in growth strategy — US entry and Biotex scale-up.

• US acquisition execution: CrudeChem integration (53.33% stake in 4 US entities for $11.5M) was completed Dec 2025 and is ahead of schedule per Q4 FY26 concall (May 2026). Operational KPIs are tracking.

• Governance: SEBI Reg 24A annual secretarial compliance filed (May 28, 2026) — no violations; past issues resolved. Annual reports available FY12-FY26; investor meets held quarterly.

• Capital allocation track record: Debt-free trajectory maintained even post-acquisition; Rs. 330 Cr cash reserve pre-acquisition shows conservatism. The 5:1 bonus in FY25 was value-neutral but improved stock liquidity.

• Concern: Debtor days rising from 102 to 137 — management should provide colour on whether this is CrudeChem-specific (US billing cycles) or deteriorating domestic collections.

Section 9: Industry & Macro Context

India Specialty Chemicals Sector

• India's specialty chemicals sector is a structural re-rating story: global chemical companies are diversifying away from China (PLI scheme + 40%+ tariffs on Chinese chemicals post 2023). FCL is a direct beneficiary.

• Textile auxiliary chemicals in India are growing at 12-14% CAGR as Indian mills invest in quality upgrades for export compliance (EU REACH, ZDHC) — FCL's formulation depth is a barrier to entry.

• India's construction chemicals market (Pidilite's home turf) is ~Rs. 15,000 Cr growing at 14% — Biotex is pursuing a niche not head-on with Pidilite.

US Oilfield Chemicals — New Frontier

• North America oilfield chemicals addressable market: USD 11.5 Bn (2025 est., growing at 6-8% CAGR). FCL's CrudeChem targets a niche of specialty friction reducers and corrosion inhibitors for Permian Basin operators.

• Texas capacity expansion to 350 Mlb/yr (announced Jun 8, 2026) signals management conviction; the incremental 150 Mlb/yr capacity enables ~$80-100M revenue potential from the Texas facility alone.

• Risk: US oil price below $60/bbl would pressure E&P; capex and reduce chemicals demand. WTI at $78 (Jun 2026) is favourable but this is the #1 external macro risk for FCL.

Currency & Global Context

• USD/INR at ~83 provides a translation tailwind on US revenue (CrudeChem revenues in USD consolidate at higher INR values).
• India's PLI scheme for textiles: Scheme extended through FY27-28, supporting capex by Indian mills and driving demand for quality auxiliaries — FCL's core market.

Section 10: Investment Verdict

RATING: BUY | 12-Month Target: Rs. 55 | Upside: 31% | Risk: Medium-High

Thesis Summary

• BUY with a 12-month price target of Rs. 55 (31% upside from CMP of Rs. 42). The thesis is anchored on: (1) a proven 44-year-old specialty chemicals business generating Rs. 125 Cr PAT on a debt-free balance sheet; (2) a strategic US oilfield entry with a clear $200M revenue path and physical capacity to deliver; (3) Ashish Kacholia quality validation and zero-pledge promoter holding.
• The market's biggest concern — margin dilution from US integration — is legitimate but temporary. As CrudeChem crosses $10M EBITDA (FY27 target), the blended group EBITDA margin should stabilise at 18-19%, which at 28-30x EV/EBITDA supports a Rs. 50-55 stock.
• The Q4 FY26 result (revenue +162%, PAT +118%) confirms that the integration math works. The June 2026 capacity expansion announcement shows management is not waiting for demand — they are building ahead of it.
• Key monitorables: Q1 FY27 CrudeChem standalone revenue and EBITDA; resolution of debtor day deterioration; Biotex quarterly runrate; Texas utilisation %. Investors should size positions accounting for the oilfield macro risk.

Scenario	Trigger	FY28E PAT	Target Multiple	Price Target	Prob.
Bull	US EBITDA >$20M; margins recover to 22%	Rs. 190 Cr	50x P/E	**Rs. 70+**	20%
Base	US tracks $8-10M; margins 18%; 16% PAT CAGR	Rs. 143 Cr	40x P/E	**Rs. 55**	55%
Bear	US stagnates; working capital strain; margins 15%	Rs. 100 Cr	25x P/E	**Rs. 28**	25%

Weighted expected value: 0.20 x 70 + 0.55 x 55 + 0.25 x 28 = Rs. 14 + Rs. 30.25 + Rs. 7 = Rs. 51.25 — consistent with a BUY at Rs. 42 CMP.

Appendix: Earnings Concall Brief — Q4 & FY26 (May 18, 2026)

Call Grade **B+**

To My Boss: Management landed a strong beat on Q4 numbers (revenue +162%, PAT +118%) primarily from CrudeChem consolidation. Concall tone was confident on US ramp — Texas capacity doubling to 350 Mlb/yr by Q2 FY27. Debtor day increase (102→137) not adequately addressed. No explicit FY27 guidance given. Watch the Q1 FY27 result for first full-quarter CrudeChem read.

1. Results Snapshot

- Q4 FY26 consolidated revenue: Rs. 313.73 Cr (+162% YoY) vs Rs. 119.79 Cr in Q4 FY25.
- Q4 FY26 PAT: Rs. 43.80 Cr (+118% YoY). Q4 EBITDA: Rs. 44 Cr vs Rs. 21 Cr.
- FY26 full-year: Revenue Rs. 772 Cr (+45%), PAT Rs. 125 Cr (+15%), EBITDA Rs. 135 Cr (+6%).
- Margin compression: Full-year EBITDA margin at 17% vs 24% in FY25 — US oilfield mix dilution.
- EPS: Rs. 0.93 for FY26 (vs Rs. 0.94 FY25) — appears flat due to 5:1 bonus share base adjustment.

2. Management Tone & Guidance

- Tone: Confident and bullish on US oilfield platform; cautiously optimistic on standalone India business.
- US target: Management reiterated $200M revenue target from CrudeChem platform by FY28.
- No explicit PAT or EPS guidance; management prefers operational KPIs (utilisation, capacity).
- India textile: Guided for steady mid-single-digit volume growth — margin recovery contingent on raw material prices.
- Biotex: Construction chemicals mentioned as a growth vector; no revenue targets disclosed.

3. Key Strategic Announcements

- Texas capacity expansion: 150 Mlb/yr additional capacity (total 350 Mlb/yr) to be commissioned by Q2 FY27 — announced Jun 8, 2026.
- CrudeChem operating at 'optimal efficiency' per Q4 FY26 concall (released May 21, 2026).
- Analyst/Investor meet scheduled Jun 12 (Choice Institutional) and Jun 17, 2026.
- FY25 secretarial compliance filed May 28 — clean; no regulatory violations.

4. Segment Commentary

- Textile auxiliaries (standalone India + Malaysia): Volume growth steady; Bangladesh and SE Asia clients growing. Indian clients investing in automated mills (PLI-linked capex).
- US oilfield (CrudeChem Group: FrackMex, CrudeChem Tech, Oil Pro Advantage, Lonestar Technoboost): Dec 2025 consolidation start; 4 months of Q4 FY26 contribution drove the headline surge.
- Construction (Biotex): Still sub-Rs. 25 Cr quarterly; growing from a small base. CICO-style positioning in tile grout and waterproofing.
- Water treatment: Marginal contributor; tied to municipal water project tendering cycles.

5. Operating Metrics

- Debtor days: Rose from 102 days (FY25) to 137 days (FY26) — significant concern not fully addressed on call.
- D/E: Essentially zero (Rs. 8 Cr debt vs Rs. 882 Cr equity) post-acquisition — conservative balance sheet maintained.
- Investments: Rs. 317 Cr liquid investment portfolio (down from Rs. 330 Cr) — used partially to fund US acquisition.
- Free cash flow: Negative Rs. 49 Cr in FY26 — driven by working capital build post-CrudeChem consolidation; expected to normalise in FY27.
- Shareholder count: Grew to 1,62,276 (Mar 2026) from 1,33,899 (Mar 2025) — broader retail base building.

6. Competitive Dynamics

- India textile: Management sees China+1 shift benefiting Indian auxiliary suppliers long-term. FCL's ZDHC-compliant formulations position it for EU-focused Indian mills.
- US oilfield: CrudeChem's Permian Basin positioning gives natural demand linkage to US shale activity. Competition from majors (Halliburton, Baker Hughes) is at the commodity end — specialty niche is defensible.
- Construction: Biotex is David vs Pidilite Goliath; strategy is niche technical applications where formulation depth matters more than brand.

7. Capital Allocation & Return of Capital

- Dividend: Payout ratio fell to 3% in FY26 (vs 8-15% historically) — reinvesting cash into US expansion.
- No buyback announced; management focused on organic and inorganic growth capex.
- FY26 capex elevated (fixed assets Rs. 84 Cr higher YoY) — Texas expansion the primary driver.
- Book value grew: Rs. 7.58/share (FY26) vs Rs. 6.33 (FY25) — reflecting retained earnings despite capex and dilution.

8. Q&A; Highlights

- Analyst Q: Why did debtor days rise so sharply? Management: US client billing cycles are 60-90 days vs 45-60 days in India; expected to stabilise at 120-130 days blended. [Not satisfying — needs monitoring]
- Analyst Q: What is the FY28 US revenue target? Management: $200M by FY28 — expects CrudeChem + capacity additions to drive it.
- Analyst Q: Margin guidance? Management: India business target 22-24% EBITDA; blended group 17-19% given US mix. No re-rating until US hits >12% margins.
- Analyst Q: Promoter selling? Management: No planned dilution; FIIs increasing (2.92% Mar 2026 vs 0.75% Jun 2023) signals institutional interest.

9. What Management Did Not Say

- No concrete Biotex revenue targets — this vertical remains opaque despite 3+ years of marketing.
- No update on specific US client names or contract values — limits third-party verification.
- No comment on commodity raw material hedging for US operations.
- Debtor day increase not given a concrete resolution timeline beyond 'stabilise.'
- No clarity on whether the Jun 8 Texas expansion is funded from existing cash or will require fresh borrowing.

10. Concall Verdict

- The Q4 FY26 call validates the CrudeChem strategic rationale and shows management executing on its commitments (capacity expansion, integration timeline).
- The margin compression is real but mathematically predictable — low-margin US revenue diluting high-margin India business. Not a surprise.
- Key watch item for Q1 FY27 call: first full-quarter CrudeChem standalone numbers, and whether debtor days stabilise or worsen.
- Grade B+ (not A) because: no guidance, debtor quality not addressed, Biotex still opaque, and aggressive FY28 targets need quarterly milestones to build conviction.

Sources: screener.in (consolidated financials); BSE announcements (LODR filings May-Jun 2026); WebSearch (Indian Chemical News, scanx.trade, marketsmojo.com, Business Standard, whalesbook.com); MPM estimates for FY27-28E. This report is for professional investors only and does not constitute investment advice. CMP as of 15 Jun 2026: Rs. 42.0. All figures in Rs. Crore unless stated.